OPPENHEIMER

EQUITY RESEARCH

QUARTERLY UPDATE

September 11, 2026

TECHNOLOGY/SOFTWARE APPLICATIONS

Stock Rating:

PERFORM

12-18 mo. Price Target	NA
ADBE - NASDAQ	$248.83
3-5 Yr. EPS Gr. Rate	15%
52-Wk Range	$370.86-$190.12
Shares Outstanding	395.0M
Float	483.0M
Market Capitalization	$98,909.9M
Avg. Daily Trading Volume	6,187,438
Dividend/Div Yield	NA/NM
Book Value	$29.78
Fiscal Year Ends	Nov
2026E ROE	82.9%
LT Debt	$6,363.0M
Preferred	NA
Common Equity	$11,764M
Convertible Available	No

Revenue ($/mil)	Q1	Q2	Q3	Q4	Year	Mult.
2025A	5.7B	5.9B	6.0B	6.2B	23.8B	4.2x
2026E	6.4BA	6.6BA	6.8BA	6.8B	26.6B	3.7x
Prior (E)	—	—	*6.7B*	*6.8B*	*26.6B*	*4.1x*
2027E	7.0B	7.2B	7.3B	7.5B	28.9B	3.4x
Prior (E)	*7.0B*	*7.2B*	*7.3B*	*7.5B*	*28.8B*	*3.8x*
2028E	7.6B	7.7B	8.0B	8.2B	31.5B	3.1x
Prior (E)	*7.6B*	*7.8B*	*7.8B*	*8.1B*	*31.3B*	*3.5x*

EPS ProForma	Q1	Q2	Q3	Q4	Year	Mult.
2025A	5.08	5.06	5.31	5.50	20.94	11.9x
2026E	6.06A	5.96A	6.13A	6.32	24.47	10.2x
Prior (E)	—	—	*6.08*	*6.31*	*24.40*	—
2027E	6.68	6.90	6.93	7.18	27.68	9.0x
Prior (E)	*6.47*	*6.76*	*6.84*	*7.20*	*27.26*	*9.1x*
2028E	7.47	7.50	7.85	8.06	30.86	8.1x
Prior (E)	*7.36*	*7.56*	*7.40*	*7.89*	*30.21*	*8.2x*

Adobe, Inc.

F3Q Results: Freemium and AI Momentum Build, But Monetization Activity Remains a Show Me Story

SUMMARY

We maintain our Perform rating on Adobe after good F3Q results. In our view, the quarter results show encouraging early traction from its AI and freemium initiatives. Specifically, the freemium strategy continues expanding the user base, AI-first ARR is growing rapidly, and consensus estimates are moving modestly higher. The strong AI-first revenue and MAU growth trajectories suggest meaningful upside and potential future revenue acceleration as adoption broadens and conversion rates improve. While F3Q RPO moderated versus the past four quarters and net-new ARR softened, these trends largely reflect the transition toward shorter-duration freemium offerings and ongoing investment to capture a larger long-term opportunity. However, these items leave tough optics with margins compressing ahead of monetization. This is the risk that we flagged into the print.

KEY POINTS

- **Good F3Q results.** Total revenue of $6.760B (+13% y/y, 12% in CC) is $70M above the $6.690B consensus. Total ARR is $27.50B (+11% y/y) and $20M above the $27.48B consensus. PF operating margin of 44.0% is 10bps below 44.1% consensus. PF EPS of $6.13 (+15% y/y) is $0.04 above the $6.09E consensus. **We revise our estimates for results and guidance.**
- **Mixed F4Q guidance.** Total revenue of $6.80-6.85B (+10-11% y/y) is in line with the $6.84B consensus. Creative & Marketing Professionals subscription revenue of $4.665-4.695B is slightly below the $4.695B consensus. Business Professionals & Consumers subscription revenue of $1.93-1.95B is slightly below the $1.95B consensus. PF operating margin of approximately 44.0% is below the 44.2% consensus. PF EPS of $6.30-6.35 compares to the $6.31 estimate.
- **FY26 guidance is raised above consensus.** Total revenue is raised $26-76M to $26.576-26.626B, and $36-$86M above the $26.54B consensus. Creative & Marketing Professionals subscription revenue is raised $2-32M to $18.242-18.272B and $2-32M above the $18.24B consensus. Business Professionals & Consumers revenue is raised $10-30M to $7.47-7.49B and $10-30M above the $7.46B consensus. PF EPS is raised $0.05-0.10 to $24.45-24.50 and $0.03-0.08 above the $24.42E.
- **Positives:** 1) AI-first ending ARR now exceeds $650M (+150% y/y) and up $150M sequentially from $500M in F2Q26; 2) Creative freemium MAU crossed 100 million (+70% y/y); 3) Total MAU surpassed 1-billion (+20% y/y); 4) Record F3Q OCF of $2.523B (+15% y/y) is $315M above the $2.208B consensus; 5) The number of paid customers for Brand Visibility solutions doubled q/q; 6) repurchased 9.5M shares.
- **Negatives:** 1) RPO of $22.16B (+8% y/y) is $440M below the $22.60B consensus; 2) F3Q net new ARR of $400M declined nearly 40% y/y mostly from the shift to freemium; 3) PF operating margin of 44.0% declined 230bps y/y and 10bps below consensus; 4) Creative freemium MAU added 10M sequentially, the same sequential add as F2Q; and 5) CFO has not yet been announced.

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For analyst certification and important disclosures, see the Disclosure Appendix.

Stock Price Performance



INVESTMENT THESIS

Adobe stands out from almost any group as the pioneering trailblazer of digital creative and marketing tools and services, and the company has transitioned and progressed into a verifiable AI and cloud platform success story. The company rides atop multiple product pillars of substantial scale, profits, and growth trajectory. Adobe has a durable growth opportunity by helping digitally transform worldwide businesses of all sizes by modernizing and re-envisioning customer engagement and experiences with AI technology. Our Perform rating on ADBE reflects pricing and moat durability concerns from increasing competition during the industry's transition to AI technology, and elevated FY26 guidance risk from the next CEO's possibly resetting expectations.

BASE CASE ASSUMPTION

- Good secular demand for digital creative and marketing solutions
- Demonstrates stable operating margin trends
- Growth metrics remain in the low to mid-teen's percentage
- Good execution in the quarterly reported results

CATALYSTS

- Management will be presenting at industry conferences over the next several months
- Large company acquisitions
- Significant changes to market share
- Positive momentum with its generative AI solutions

UPSIDE SCENARIO

- Revenue growth reaccelerates
- Faster secular demand for generative AI, digital creative and marketing solutions
- Strong growth in customer lifetime values
- Pace of margin expansion increases
- Strong free cash flow generation

DOWNSIDE SCENARIO

- Inconsistent execution in the reported results
- Decrease in customer lifetime values
- Loses market share
- Operating margins decline
- Revenue growth decelerates to single-digit percentage rates

COMPANY DESCRIPTION

Adobe is a leading vendor of digital content creation and digital marketing software.

Other Key Quarterly Metrics

- RPO grew 8% to $22.16B, compared to 13% last quarter and 13% in F3Q:2025
- Subscription revenue as reported grew 14% y/y to $6.6B, compared to 14% last quarter and 12% in F3Q:2025
- Products revenue as reported decreased (1%) y/y to $67M, compared to 1% last quarter and (17%) in F3Q:2025
- Services and support revenue as reported decreased (14%) y/y to $111M, compared to (22%) last quarter and (12%) in F3Q:2025
- International revenue accounted for 41% of revenue, compared to 41% last quarter and 41% in F3Q:2025
- Domestic revenue accounted for 59% of revenue, compared to 59% last quarter and 59% in F3Q:2025
- Billings increased 9% y/y to $6.7B, compared to 14% last quarter and 10% in F3Q:2025
- Total deferred revenue increased 10% y/y to $7.2B, compared to 14% last quarter and 11% in F3Q:2025
- OCF increased 15% y/y to $2.5B, compared to (1%) last quarter and 9% in F3Q:2025
- FCF increased 15% y/y to $2.4B, compared to (2%) last quarter and 8% in F3Q:2025
- Total employees increased 9% y/y to 34,206 compared to 8% last quarter and 2% in F3Q:2025
- DSOs were 28 days, compared to 28 days last quarter and 31 days in F3Q:2025
- The company ended the quarter with approximately $5.6B in cash and equivalents and $6.4B in debt ($1.83 net-debt per share).

F3Q Actuals and Forward Guidance

	Consensus	Opco Estimate	Actual		Guide
F3Q:26A					
Total revenue	$6,700M	$6,695M	$6,760M	*13%*	$6.67-6.72B
PF Operating income	$2,955M	$2,943M	$2,974M	*44.0%*	44.0%
PF EPS	$6.09	$6.08	$6.13	*15%*	$6.05-6.10
Operating cash flow	$2,208M	$2,242M	$2,523M	*15%*	
Free cash flow	$2,186M	$2,183M	$2,438M	*15%*	

	Consensus	Opco Prior Est.	Opco New Est.		Guide
F4Q:26E					
Total revenue	$6,846M	$6,839M	$6,827M	*10%*	$6.80-6.85B
PF Operating income	$3,026M	$3,012M	$3,005M	*44.0%*	44.0%
PF EPS	$6.32	$6.31	$6.32	*15%*	$6.30-6.35
Operating cash flow	$3,195M	$3,223M	$3,192M	*1%*	
Free cash flow	$3,236M	$3,163M	$3,106M	*(1%)*	
FY26E					
Total revenue	$26,539M	$26,550M	$26,603M	*12%*	$26.576-26.626B
PF Operating income	$11,959M	$11,935M	$11,959M	*45.0%*	45%
PF EPS	$24.42	$24.40	$24.47	*17%*	$24.45-24.50
Operating cash flow	$10,643M	$10,588M	$10,838M	*8%*	
Free cash flow	$10,360M	$10,375M	$10,572M	*7%*	

Note: all %s represent Y/Y growth rates except PF operating income (margin %)

Source: Company Reports, Factset, and Oppenheimer & Co. Inc.

Adobe Systems Incorporated	2025A				2026E				2027E				2028E				FISCAL YEARS			
Income Statement	Q1A	Q2A	Q3A	Q4A	Q1A	Q2A	Q3A	Q4E	Q1E	Q2E	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	FY	FY	FY	FY
($ in thousands, except per share)	Feb-25	May-25	Aug-25	Nov-25	Feb-26	May-26	Aug-26	Nov-26	Feb-27	May-27	Aug-27	Nov-27	Feb-28	May-28	Aug-28	Nov-28	2025A	2026E	2027E	2028E
Creative & Marketing Professionals Subscription Revenue	**3,920,000**	**4,020,000**	**4,120,000**	**4,250,000**	**4,390,000**	**4,540,000**	**4,650,000**	**4,675,000**	**4,785,100**	**4,903,200**	**5,022,000**	**5,095,750**	**5,167,908**	**5,246,424**	**5,473,980**	**5,605,325**	**16,310,000**	**18,255,000**	**19,806,050**	**21,493,637**
Y/Y % change	*10%*	*10%*	*11%*	*11%*	*12%*	*13%*	*13%*	*10%*	*9%*	*8%*	*8%*	*9%*	*8%*	*7%*	*9%*	*10%*	*11%*	*9%*	*9%*	*9%*
Q/Q % change	*2%*	*3%*	*2%*	*3%*	*3%*	*3%*	*2%*	*1%*	*2%*	*2%*	*2%*	*1%*	*1%*	*2%*	*4%*	*2%*				
% of total subscription	*72%*	*72%*	*71%*	*71%*	*71%*	*71%*	*.*	*71%*	*70%*	*70%*	*71%*	*70%*	*70%*	*70%*	*70%*	*70%*	*72%*	*71%*	*70%*	*70%*
Business Professionals & Consumer Subscription Revenue	**1,530,000**	**1,600,000**	**1,650,000**	**1,720,000**	**1,780,000**	**1,850,000**	**1,910,000**	**1,943,600**	**2,011,400**	**2,090,500**	**2,081,900**	**2,157,396**	**2,212,540**	**2,299,550**	**2,352,547**	**2,394,710**	**6,500,000**	**7,483,600**	**8,341,196**	**9,259,347**
Y/Y % change	*14%*	*15%*	*15%*	*15%*	*16%*	*16%*	*16%*	*13%*	*13%*	*13%*	*9%*	*11%*	*10%*	*10%*	*13%*	*11%*	*9%*	*9%*	*9%*	*11%*
Q/Q % change	*2%*	*5%*	*3%*	*4%*	*3%*	*4%*	*3%*	*2%*	*3%*	*4%*	*(0%)*	*4%*	*3%*	*4%*	*2%*	*2%*				
% of total subscription	*28%*	*28%*	*29%*	*29%*	*29%*	*29%*	*29%*	*29%*	*30%*	*30%*	*29%*	*30%*	*30%*	*30%*	*30%*	*30%*	*28%*	*29%*	*30%*	*30%*
Other Revenue	**264,000**	**253,000**	**218,000**	**224,000**	**228,000**	**202,000**	**178,000**	**208,320**	**223,440**	**197,960**	**174,440**	**204,154**	**214,502**	**190,042**	**167,462**	**195,987**	**959,000**	**816,320**	**799,994**	**767,994**
Y/Y % change	*(10%)*	*(9%)*	*(12%)*	*(16%)*	*(14%)*	*(20%)*	*(18%)*	*(7%)*	*(2%)*	*(2%)*	*(2%)*	*(2%)*	*(4%)*	*(4%)*	*(4%)*	*(4%)*	*(13%)*	*249%*	*(15%)*	*(5%)*
Q/Q % change	*(1%)*	*(4%)*	*(14%)*	*3%*	*2%*	*(11%)*	*(12%)*	*17%*	*7%*	*(11%)*	*(12%)*	*17%*	*5%*	*(11%)*	*(12%)*	*17%*				
Total Revenue	**5,714,000**	**5,873,000**	**5,988,000**	**6,194,000**	**6,398,000**	**6,618,000**	**6,760,000**	**6,826,920**	**7,019,940**	**7,191,660**	**7,278,340**	**7,457,300**	**7,594,950**	**7,736,016**	**7,993,989**	**8,196,022**	**23,769,000**	**26,602,920**	**28,947,240**	**31,520,977**
Y/Y % change	*10%*	*11%*	*11%*	*10%*	*12%*	*13%*	*13%*	*10%*	*10%*	*9%*	*8%*	*9%*	*8%*	*8%*	*10%*	*10%*	*11%*	*12%*	*9%*	*9%*
Q/Q % change	*2%*	*3%*	*2%*	*3%*	*3%*	*3%*	*2%*	*1%*	*3%*	*2%*	*1%*	*2%*	*2%*	*2%*	*3%*	*3%*				
Total GAAP COGS	**622,000**	**638,000**	**642,000**	**649,000**	**664,000**	**715,000**	**763,000**	**811,250**	**743,680**	**800,800**	**854,560**	**908,600**	**832,922**	**896,896**	**957,107**	**1,017,632**	**2,551,000**	**2,953,250**	**3,307,640**	**3,704,557**
GAAP Gross Profit	**5,092,000**	**5,235,000**	**5,346,000**	**5,545,000**	**5,734,000**	**5,903,000**	**5,997,000**	**6,015,670**	**6,276,260**	**6,390,860**	**6,423,780**	**6,548,700**	**6,762,029**	**6,839,120**	**7,036,882**	**7,178,390**	**21,218,000**	**23,649,670**	**25,639,600**	**27,816,421**
GAAP Gross Profit Margin	*89.1%*	*89.1%*	*89.3%*	*89.5%*	*89.6%*	*89.2%*	*88.7%*	*88.1%*	*89.4%*	*88.9%*	*88.3%*	*87.8%*	*89.0%*	*88.4%*	*88.0%*	*87.6%*	*89.3%*	*88.9%*	*88.6%*	*88.2%*
PF Gross Profit	**5,164,000**	**5,308,000**	**5,420,000**	**5,599,000**	**5,768,000**	**5,949,000**	**6,015,000**	**6,071,632**	**6,321,360**	**6,436,818**	**6,470,172**	**6,595,986**	**6,810,004**	**6,887,800**	**7,086,852**	**7,229,370**	**21,342,000**	**23,792,632**	**25,784,336**	**27,974,026**
PF Gross Profit Margin	*90.4%*	*90.4%*	*90.5%*	*90.4%*	*90.2%*	*89.9%*	*89.0%*	*88.9%*	*90.0%*	*89.5%*	*88.9%*	*88.5%*	*89.7%*	*89.0%*	*88.7%*	*88.2%*	*89.8%*	*89.4%*	*89.1%*	*88.7%*
GAAP Operating Expenses																				
Sales and Marketing	**1,495,000**	**1,626,000**	**1,639,000**	**1,728,000**	**1,708,000**	**1,884,000**	**1,827,000**	**1,845,270**	**1,863,723**	**1,882,360**	**1,901,184**	**1,920,195**	**1,958,599**	**1,997,771**	**2,017,749**	**2,037,926**	**6,488,000**	**7,264,270**	**7,567,462**	**8,012,046**
Y/Y % change	*11%*	*13%*	*15%*	*13%*	*14%*	*16%*	*11%*	*7%*	*9%*	*(0%)*	*4%*	*4%*	*5%*	*6%*	*6%*	*6%*				
% of Total Revenue	*26%*	*28%*	*27%*	*28%*	*27%*	*28%*	*27%*	*27%*	*27%*	*26%*	*26%*	*26%*	*26%*	*26%*	*25%*	*25%*	*27%*	*27%*	*26%*	*25%*
Research and Development	**1,026,000**	**1,082,000**	**1,088,000**	**1,098,000**	**1,110,000**	**1,198,000**	**1,288,000**	**1,300,880**	**1,326,898**	**1,353,436**	**1,380,504**	**1,408,114**	**1,464,439**	**1,523,016**	**1,583,937**	**1,647,295**	**4,294,000**	**4,896,880**	**5,468,952**	**6,218,687**
% of Total Revenue	*18%*	*18%*	*18%*	*18%*	*17%*	*18%*	*19%*	*19%*	*19%*	*19%*	*19%*	*19%*	*19%*	*20%*	*20%*	*20%*	*18%*	*18%*	*19%*	*20%*
General and Administrative	**367,000**	**377,000**	**408,000**	**421,000**	**463,000**	**546,000**	**488,000**	**492,880**	**487,951**	**483,072**	**478,241**	**473,459**	**478,193**	**473,411**	**468,677**	**463,990**	**1,573,000**	**1,989,880**	**1,922,722**	**1,884,272**
% of Total Revenue	*6%*	*6%*	*7%*	*7%*	*7%*	*8%*	*7%*	*7%*	*7%*	*7%*	*7%*	*6%*	*6%*	*6%*	*6%*	*6%*	*7%*	*7%*	*7%*	*6%*
GAAP Operating Expenses	**2,929,000**	**3,126,000**	**3,173,000**	**3,284,000**	**3,316,000**	**3,665,000**	**3,643,000**	**3,674,030**	**3,718,572**	**3,758,867**	**3,799,929**	**3,841,768**	**3,951,231**	**4,044,199**	**4,120,363**	**4,199,211**	**12,512,000**	**14,298,030**	**15,119,136**	**16,315,005**
Y/Y % change	*(21%)*	*11%*	*11%*	*8%*	*13%*	*17%*	*15%*	*12%*	*12%*	*3%*	*4%*	*5%*	*6%*	*8%*	*8%*	*9%*	*8%*	*14%*	*6%*	*8%*
GAAP Operating Income	**2,163,000**	**2,109,000**	**2,173,000**	**2,261,000**	**2,418,000**	**2,238,000**	**2,354,000**	**2,341,640**	**2,557,689**	**2,631,993**	**2,623,851**	**2,706,931**	**2,810,797**	**2,794,921**	**2,916,519**	**2,979,179**	**8,706,000**	**9,351,640**	**10,520,464**	**11,501,416**
GAAP Operating Income Margin	*37.9%*	*35.9%*	*36.3%*	*36.5%*	*37.8%*	*33.8%*	*34.8%*	*34.3%*	*36.4%*	*36.6%*	*36.1%*	*36.3%*	*37.0%*	*36.1%*	*36.5%*	*36.3%*	*37%*	*35%*	*36%*	*36%*
Total Stock-based Compensation	469,000	482,000	521,000	501,000	514,000	556,000	544,000	552,981	561,595	575,333	582,267	596,584	590,887	601,862	621,932	637,651	1,973,000	2,166,981	2,315,779	2,452,332
GAAP amortization of purchased intangibles	41,000	41,000	38,000	37,000	35,000	37,000	35,000	35,000	40,000	40,000	40,000	40,000	50,000	50,000	50,000	50,000	157,000	142,000	160,000	200,000
PF Operating Income	**2,715,000**	**2,674,000**	**2,773,000**	**2,824,000**	**3,035,000**	**2,945,000**	**2,974,000**	**3,004,621**	**3,169,284**	**3,257,326**	**3,256,118**	**3,353,515**	**3,461,685**	**3,456,783**	**3,598,451**	**3,676,829**	**10,986,000**	**11,958,621**	**13,036,243**	**14,193,748**
PF Operating Income Margin	*47.5%*	*45.5%*	*46.3%*	*45.6%*	*47.4%*	*44.5%*	*44.0%*	*44.0%*	*45.1%*	*45.3%*	*44.7%*	*45.0%*	*45.6%*	*44.7%*	*45.0%*	*44.9%*	*46%*	*45%*	*45%*	*45%*
Total other income	19,000	(8,000)	14,000	3,000	4,000	0	3,000	15,000	(17,500)	(17,500)	(17,500)	(17,500)	(10,000)	(10,000)	(10,000)	(10,000)	28,000	22,000	(70,000)	(40,000)
GAAP Pre-tax income	**2,182,000**	**2,101,000**	**2,187,000**	**2,264,000**	**2,422,000**	**2,238,000**	**2,357,000**	**2,356,640**	**2,540,189**	**2,614,493**	**2,606,351**	**2,689,431**	**2,800,797**	**2,784,921**	**2,906,519**	**2,969,179**	**8,734,000**	**9,373,640**	**10,450,464**	**11,461,416**
GAAP Income tax expense (benefit)	371,000	410,000	415,000	408,000	533,000	526,000	530,000	530,244	546,141	562,116	560,366	578,228	602,171	598,758	624,902	638,373	1,604,000	2,119,244	2,246,850	2,464,204
GAAP Tax Rate	17.0%	19.5%	19.0%	18.0%	22.0%	23.5%	22.5%	22.5%	21.5%	21.5%	21.5%	21.5%	21.5%	21.5%	21.5%	21.5%	18.4%	22.6%	21.5%	21.5%
GAAP Net Income	**1,811,000**	**1,691,000**	**1,772,000**	**1,856,000**	**1,889,000**	**1,712,000**	**1,827,000**	**1,826,396**	**1,994,048**	**2,052,377**	**2,045,986**	**2,111,204**	**2,198,626**	**2,186,163**	**2,281,617**	**2,330,805**	**7,130,000**	**7,254,396**	**8,203,614**	**8,997,211**
GAAP EPS	**$4.14**	**$3.94**	**$4.18**	**$4.45**	**$4.60**	**$4.25**	**$4.63**	**$4.69**	**$5.15**	**$5.33**	**$5.34**	**$5.54**	**$5.80**	**$5.80**	**$6.08**	**$6.25**	**$16.70**	**$18.17**	**$21.36**	**$23.92**
PF Pre-tax income	**2,728,000**	**2,664,000**	**2,764,000**	**2,815,000**	**3,034,000**	**2,927,000**	**2,956,000**	**2,999,621**	**3,151,784**	**3,239,826**	**3,238,618**	**3,336,015**	**3,451,685**	**3,446,783**	**3,588,451**	**3,666,829**	**10,971,000**	**11,916,621**	**12,966,243**	**14,153,748**
PF Income tax expense (benefit)	504,000	493,000	512,000	521,000	546,000	527,000	532,000	539,851	567,236	583,081	582,864	600,392	621,210	620,328	645,824	659,930	2,030,000	2,144,851	2,333,573	2,547,292
PF Tax Rate	18.5%	18.5%	18.5%	18.5%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	18.5%	18.0%	18.0%	18.0%
PF Net Income	**2,224,000**	**2,171,000**	**2,252,000**	**2,294,000**	**2,488,000**	**2,400,000**	**2,424,000**	**2,459,770**	**2,584,548**	**2,656,745**	**2,655,755**	**2,735,623**	**2,830,475**	**2,826,455**	**2,942,627**	**3,006,899**	**8,941,000**	**9,771,770**	**10,632,670**	**11,606,456**
Y/Y % change	*9%*	*7%*	*8%*	*8%*	*12%*	*11%*	*8%*	*7%*	*4%*	*11%*	*10%*	*11%*	*10%*	*6%*	*11%*	*10%*	*8%*	*9%*	*9%*	*9%*
PF EPS	**$5.08**	**$5.06**	**$5.31**	**$5.50**	**$6.06**	**$5.96**	**$6.13**	**$6.32**	**$6.68**	**$6.90**	**$6.93**	**$7.18**	**$7.47**	**$7.50**	**$7.85**	**$8.06**	**$20.94**	**$24.47**	**$27.68**	**$30.86**
Y/Y % change	*13%*	*13%*	*14%*	*14%*	*19%*	*18%*	*15%*	*15%*	*10%*	*16%*	*13%*	*14%*	*12%*	*9%*	*13%*	*12%*	*14%*	*17%*	*13%*	*11%*
Fully Diluted Shares Outstanding (000s)	438,000	429,000	424,000	417,000	411,000	402,000	395,000	389,075	387,075	385,075	383,075	381,075	379,075	377,075	375,075	373,075	427,000	399,269	384,075	376,075

Management Guidance																
Revenue ($B)/Revenue growth	5.63-5.68	5.77-5.82	5.875-5.925	6.075-6.125	6.25-6.30	6.43-6.48	6.67-6.72	6.80-6.85								
Creative & Marketing Professionals Subscription Revenue					4.30-4.33	4.41-4.44	4.61-4.64	4.665-4.695								
Business Professionals & Consumer Subscription Revenue					1.74-1.76	1.80-1.82	1.87-1.89	1.93-1.95								
Digital Media segment growth y/y	4.17-4.20	4.27-4.30	4.37-4.40	4.53-4.56												
Net new Digital Media ARR ($ M) or growth rate %																
Digital Experience revenue growth y/y	1.38-1.40	1.43-1.45	1.45-1.47	1.495-1.515												
PF Operating Income Margin	47%	45%	45.5%	45.5%	47%	44.5%	44%	44%								
GAAP Operating Income Margin	37%	35%			38%		34%									
GAAP Tax Rate																
PF Tax Rate	18.5%	18.5%	18.5%	18.5%	18%	18%	0.18	0.18								
GAAP EPS ($)	3.85-3.90	3.80-3.85	4.00-4.05	4.27-4.32	4.55-4.60	4.35-4.40	4.40-4.45	4.65-4.70								
PF EPS ($)	4.95-5.00	4.95-5.00	5.15-5.20	5.35-5.40	5.85-5.90	5.80-5.85	6.05-6.10	6.30-6.35								
Share Count (M)	~439	~432	~425	~418	~411	~402	~395	~389								

Source: Company Reports, Oppenheimer & Co. Inc.

Adobe Systems Incorporated	2025A				2026E		
Balance Sheet	**Q1A**	**Q2A**	**Q3A**	**Q4A**	**Q1A**	**Q2A**	**Q3A**
($ in thousands, except per share)	**Feb-25**	**May-25**	**Aug-25**	**Nov-25**	**Feb-26**	**May-26**	**Aug-26**
Current Assets							
Cash and equivalents	6,758,000	4,931,000	4,982,000	5,431,000	6,332,000	4,919,000	4,359,000
Short-term investments	677,000	782,000	958,000	1,164,000	558,000	707,000	1,280,000
Trade receivables, net	1,973,000	1,735,000	2,093,000	2,344,000	2,092,000	1,993,000	2,081,000
Prepaid expenses and other current assets	1,447,000	1,530,000	1,379,000	1,224,000	1,404,000	1,449,000	1,438,000
Total current assets	**10,855,000**	**8,978,000**	**9,412,000**	**10,163,000**	**10,386,000**	**9,068,000**	**9,158,000**
Long-term Assets							
Property and equipment, net	1,893,000	1,890,000	1,908,000	1,873,000	1,852,000	1,870,000	1,870,000
Operating lease right-of-use assets, net	266,000	259,000	307,000	312,000	305,000	299,000	286,000
Goodwill	12,777,000	12,830,000	12,862,000	12,857,000	12,869,000	14,041,000	14,037,000
Purchased and other intangibles, net	706,000	631,000	555,000	495,000	454,000	1,012,000	956,000
Deferred income taxes	1,820,000	1,984,000	2,092,000	2,186,000	2,138,000	1,998,000	1,928,000
Other assets	1,638,000	1,535,000	1,618,000	1,610,000	1,700,000	1,645,000	1,746,000
Total Assets	**29,955,000**	**28,107,000**	**28,754,000**	**29,496,000**	**29,704,000**	**29,933,000**	**29,981,000**
Current Liabilities							
Trade payables	326,000	360,000	337,000	417,000	419,000	499,000	529,000
Accrued expenses	1,951,000	2,256,000	2,289,000	2,648,000	2,257,000	2,455,000	2,516,000
Debt and capital lease obligations	0	0	0	0	849,000	1,843,000	1,597,000
Deferred revenue	6,347,000	6,220,000	6,385,000	6,905,000	7,275,000	7,152,000	7,094,000
Income taxes payable	465,000	129,000	154,000	153,000	506,000	38,000	63,000
Operating lease liabilities	74,000	74,000	74,000	77,000	84,000	91,000	89,000
Total Current liabilities	**9,163,000**	**9,039,000**	**9,239,000**	**10,200,000**	**11,390,000**	**12,078,000**	**11,888,000**
Long-term Liabilities							
Debt and capital lease obligations	6,155,000	6,166,000	6,200,000	6,210,000	5,379,000	4,802,000	4,766,000
Deferred revenue	143,000	114,000	149,000	125,000	95,000	98,000	110,000
Income taxes payable	567,000	477,000	502,000	469,000	487,000	536,000	567,000
Operating lease liabilities	334,000	323,000	362,000	361,000	344,000	329,000	310,000
Other liabilities	498,000	540,000	532,000	508,000	576,000	572,000	576,000
Total Liabilities	**16,860,000**	**16,659,000**	**16,984,000**	**17,873,000**	**18,271,000**	**18,415,000**	**18,217,000**
Total Stockholder's Equity	**13,095,000**	**11,448,000**	**11,770,000**	**11,623,000**	**11,433,000**	**11,518,000**	**11,764,000**
Total Liabilities and Stockholder's Equity	**29,955,000**	**28,107,000**	**28,754,000**	**29,496,000**	**29,704,000**	**29,933,000**	**29,981,000**
Net Cash and Ratios							
Current ratio	1.2x	1.0x	1.0x	1.0x	0.9x	0.8x	0.8x
Quick ratio	1.0x	0.8x	0.9x	0.9x	0.8x	0.6x	0.6x
Total cash	7,435,000	5,713,000	5,940,000	6,595,000	6,890,000	5,626,000	5,639,000
Total debt	6,155,000	6,166,000	6,200,000	6,210,000	6,228,000	6,645,000	6,363,000
Net cash	1,280,000	(453,000)	(260,000)	385,000	662,000	(1,019,000)	(724,000)
Total Debt to Capital	0.3x	0.4x	0.3x	0.3x	0.4x	0.4x	0.4x
Total Debt to Equity	0.5x	0.5x	0.5x	0.5x	0.5x	0.6x	0.5x
PF LTM Return on Equity	59.8%	64.7%	69.6%	74.6%	79.6%	81.4%	82.9%
Average Shares Outstanding (M)	438,000	429,000	424,000	417,000	411,000	402,000	395,000
Book Value / Share	$29.90	$26.69	$27.76	$27.87	$27.82	$28.65	$29.78
Cash / Share	$16.97	$13.32	$14.01	$15.82	$16.76	$14.00	$14.28
Days Sales Outstanding	**30**	**28**	**31**	**32**	**28**	**28**	**28**
Days Payable Outstanding	**48**	**51**	**48**	**59**	**58**	**64**	**63**
Net cash/share	**$2.92**	**($1.06)**	**($0.61)**	**$0.92**	**$1.61**	**($2.53)**	**($1.83)**
Deferred Revenue & Billings Analysis							
Total Deferred Revenue	**6,490,000**	**6,334,000**	**6,534,000**	**7,030,000**	**7,370,000**	**7,250,000**	**7,204,000**
Deferred Revenue Q/Q Change	231,000	(156,000)	200,000	496,000	340,000	(120,000)	(46,000)
Q/Q % change	*4%*	*(2%)*	*3%*	*8%*	*5%*	*(2%)*	*(1%)*
Y/Y % change	*6%*	*11%*	*11%*	*12%*	*14%*	*14%*	*10%*
Deferred Rev / Total Rev	*114%*	*108%*	*109%*	*113%*	*115%*	*110%*	*107%*
Billings	**5,945,000**	**5,717,000**	**6,188,000**	**6,690,000**	**6,738,000**	**6,498,000**	**6,714,000**
Q/Q % change	*(0%)*	*(4%)*	*8%*	*8%*	*1%*	*(4%)*	*3%*
Y/Y % change	*11%*	*17%*	*10%*	*12%*	*13%*	*14%*	*9%*
LTM Billings/FTM Revenue	*92%*	*92%*	*92%*	*92%*	*96%*	*94%*	*94%*

Adobe Systems Incorporated	2025A				2026E				2027E				2028E				FISCAL YEARS			
Cash Flow Statement	**Q1A**	**Q2A**	**Q3A**	**Q4A**	**Q1A**	**Q2A**	**Q3A**	**Q4E**	**Q1E**	**Q2E**	**Q3E**	**Q4E**	**Q1E**	**Q2E**	**Q3E**	**Q4E**	**FY**	**FY**	**FY**	**FY**
($ in thousands, except per share)	**Feb-25**	**May-25**	**Aug-25**	**Nov-25**	**Feb-26**	**May-26**	**Aug-26**	**Nov-26**	**Feb-27**	**May-27**	**Aug-27**	**Nov-27**	**Feb-28**	**May-28**	**Aug-28**	**Nov-28**	**2025A**	**2026E**	**2027E**	**2028E**
Cash From Operations (OCF)	**2,482,000**	**2,191,000**	**2,198,000**	**3,160,000**	**2,958,000**	**2,165,000**	**2,523,000**	**3,191,600**	**3,105,900**	**2,381,500**	**2,775,300**	**3,510,760**	**3,509,667**	**2,643,465**	**3,052,830**	**3,861,836**	**10,031,000**	**10,837,600**	**11,773,460**	**13,067,798**
Y/Y change %	111%	13%	9%	8%	19%	(1%)	15%	1%	5%	10%	10%	10%	13%	11%	10%	10%	25%	8%	9%	11%
OCF per share	$5.67	$5.11	$5.18	$7.58	$7.20	$5.39	$6.39	$8.20	$8.02	$6.18	$7.24	$9.21	$9.26	$7.01	$8.14	$10.35	$23.49	$27.14	$30.65	$34.75
OCF Margin	43%	37%	37%	51%	46%	33%	37%	47%	44%	33%	38%	47%	46%	34%	38%	47%	42%	41%	41%	41%
Cash conversion ratio	**91%**	**82%**	**79%**	**112%**	**97%**	**74%**	**85%**	**106%**	**98%**	**73%**	**85%**	**105%**	**101%**	**76%**	**85%**	**105%**	**91%**	**91%**	**90%**	**92%**
CapEx	**(26,000)**	**(47,000)**	**(72,000)**	**(34,000)**	**(37,000)**	**(58,000)**	**(85,000)**	**(85,841)**	**(70,199)**	**(71,917)**	**(72,783)**	**(74,573)**	**(75,950)**	**(77,360)**	**(79,940)**	**(81,960)**	**(179,000)**	**(265,841)**	**(289,472)**	**(315,210)**
Y/Y change %	(30%)	15%	26%	(29%)	42%	23%	18%	152%	90%	24%	(14%)	(13%)	8%	8%	10%	10%	(2%)	49%	9%	9%
LTM CapEx	(172,000)	(178,000)	(193,000)	(179,000)	(190,000)	(201,000)	(214,000)	(265,841)	(299,041)	(312,957)	(300,741)	(289,472)	(295,223)	(300,666)	(307,823)	(315,210)				
CapEx as % of revenue	0.5%	0.8%	1.2%	0.5%	0.6%	0.9%	1.3%	1.3%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	0.8%	1.0%	1.0%	1.0%
Free Cash Flow (FCF)	**2,456,000**	**2,144,000**	**2,126,000**	**3,126,000**	**2,921,000**	**2,107,000**	**2,438,000**	**3,105,759**	**3,035,701**	**2,309,583**	**2,702,517**	**3,436,187**	**3,433,717**	**2,566,105**	**2,972,890**	**3,779,876**	**9,852,000**	**10,571,759**	**11,483,988**	**12,752,588**
Y/Y change %	116%	13%	8%	9%	19%	(2%)	15%	(1%)	4%	10%	11%	11%	13%	11%	10%	10%	25%	7%	9%	11%
FCF Margin	43%	37%	36%	50%	46%	32%	36%	45%	43%	32%	37%	46%	45%	33%	37%	46%	41%	40%	40%	40%
FCF per share	**$5.61**	**$5.00**	**$5.01**	**$7.50**	**$7.11**	**$5.24**	**$6.17**	**$7.98**	**$7.84**	**$6.00**	**$7.05**	**$9.02**	**$9.06**	**$6.81**	**$7.93**	**$10.13**	**$23.07**	**$26.48**	**$29.90**	**$33.91**
Cash conversion ratio	**90%**	**80%**	**77%**	**111%**	**96%**	**72%**	**82%**	**103%**	**96%**	**71%**	**83%**	**102%**	**99%**	**74%**	**83%**	**103%**	**90%**	**88%**	**88%**	**90%**

Source: Company Reports, Oppenheimer & Co. Inc.

ESG CONSIDERATIONS *

ESG Rating	B-
ESG Rating Environment	B+
ESG Rating Social	B+
ESG Rating Governance	B+

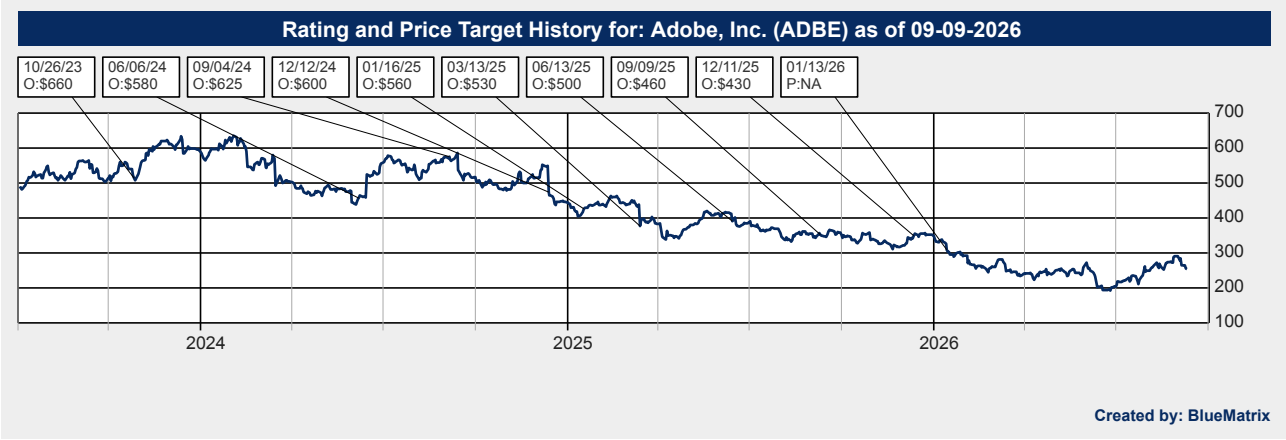
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			IB Serv/Past 12 Mos.	
Rating	Count	Percent	Count	Percent
OUTPERFORM [O]	449	66.03	195	43.43
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